

FIBONACCI

The Golden Ratio in Trading

DOJO GAINS - Mentorship

What is Fibonacci?

- Mathematical sequence found throughout nature
- 0, 1, 1, 2, 3, 5, 8, 13, 21, 34, 55...
- Each number is the sum of the two before it
- Ratios between numbers approach the 'Golden Ratio'
- These ratios appear in market movements
- Used to predict support, resistance, and targets

Key Fibonacci Levels

23.6%

Shallow retracement

38.2%

Common retracement

50.0%

Equilibrium

61.8%

GOLDEN RATIO

78.6%

Deep retracement

- 61.8% (Golden Ratio) is the most important level
- OTE (Optimal Trade Entry) = 62-79% zone

Fibonacci Retracement

- Used to find potential support/resistance during pullbacks
- Draw from swing LOW to swing HIGH (uptrend)
- Draw from swing HIGH to swing LOW (downtrend)
- Watch for price reaction at Fib levels
- Best levels: 50%, 61.8%, 78.6%
- OTE zone (62-79%) is highest probability

Fibonacci Extension

- Used to find profit targets beyond the move
- Draw from swing LOW to HIGH to pullback LOW (uptrend)
- Key extension levels: 127.2%, 161.8%, 200%, 261.8%
- 161.8% is the most watched extension
- Use extensions to set take profit levels
- Combine with key S/R for stronger targets

OTE - Optimal Trade Entry

- OTE = 62% to 79% Fibonacci retracement zone
- This is where smart money typically enters
- Deepest retracement before trend continues
- Also called 'discount zone' in ICT
- Wait for price to enter OTE before looking for entry
- Combine with FVG or OB in OTE for A+ setup

OTE + FVG + Killzone = High Probability

Premium vs Discount Zones

PREMIUM (Above 50%)

Sell zone in downtrend

Price is 'expensive'

Look for shorts here

DISCOUNT (Below 50%)

Buy zone in uptrend

Price is 'cheap'

Look for longs here

Buy at discount, sell at premium

Fibonacci + SMC

- Draw Fib on HTF swing to find retracement zone
- Look for FVG or Order Block within OTE
- Wait for price to enter OTE during Killzone
- Enter at FVG/OB inside OTE
- Target: Fib extension (161.8%) or opposite liquidity
- This is the institutional entry method

Fib + FVG + OTE = Sniper entry

Fibonacci Mistakes

- Drawing Fib on wrong swing points
- Using Fib alone without confluence
- Expecting exact reactions at levels
- Ignoring the trend direction
- Drawing too many Fibs (analysis paralysis)
- Not adjusting Fib when structure changes

Key Takeaways

- 61.8% is the Golden Ratio - most important level
- OTE zone (62-79%) is optimal entry area
- Retracements = Entry zones | Extensions = Targets
- Premium = Sell zone | Discount = Buy zone
- Combine Fib with FVG/OB for best entries
- Fib shows WHERE, SMC concepts show WHEN

Fibonacci is your roadmap